Scheme Name	Return 5 Year (%) Direct	Return 5 Year (%) Benchmark	Return 10 Year (%) Direct	Return 10 Year (%) Benchmark	Return Since Launch Regular	Return Since Launch Benchmark	Daily AUM (Cr.)
Axis Banking & PSU Debt Fund	7.15	6.45	7.88	7.44	7.71	7.65	14,689.99
Bandhan Banking & PSU Debt Fund	7.53	6.45	7.79	7.44	7.59	7.47	14,666.99
Aditya Birla Sun Life Banking & PSU Debt Fund	7.25	6.45	8.54	7.44	8.09	7.89	8,032.66
ICICI Prudential Banking & PSU Debt Fund	7.10	6.77	8.20	7.87	7.95	8.01	7,554.00
Kotak Banking and PSU Debt Fund	7.40	6.77	8.20	7.87	7.28		6,036.18

Then, we grab the factsheets for each of those top 5 and do some number crunching.

Step 3: Compare Using Key Metrics

- Examine the proportion of AAA-rated and sovereign instruments in the portfolio.
- Consider the average modified duration (lower is better) as it indicates how the fund responds to changes in interest rates.
    - ◊ Now, a quick lesson on modified duration. It tells you how much the value of the fund will change when interest rates change by 1%. So if the interest rate chages by 2% and the modified duration of the funds is 2.4 years then the expected change in the price of the fund is 4.8%. This change happens in the opposite direction. That means if interest rates rise, then the value of the fund drops and vice versa.
- Look at the Total Expense Ratio (TER) – a lower TER is preferable.
- Assess the AUM; higher AUM often signifies stability.

Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.